

Downside Scenario: EM Vulnerabilities to a Sustained Geopolitical Shock

International Commentary

Economist(s)



[Brendan McKenna](#)

- Our base case scenario for Middle East events is still for a short-lived disruption to the global economy and financial markets ([Wells Fargo - The Conflict with Iran: FAQ with the Team](#)). But the downside scenario of a prolonged rise in geopolitical uncertainty and sustained markets volatility is increasingly more likely and needs to be evaluated. We assess this elevated geopolitical uncertainty shock scenario for emerging market economies and financial markets through a vulnerability lens.
- Most EMs have reduced vulnerabilities to a sudden stop in capital flows, especially the systemically important countries (e.g., China and India). However, in the event of a sudden stop, countries reliant on external financing with adverse sovereign debt profiles and inadequate FX reserves are most vulnerable. Those with elevated vulnerabilities can experience balance of payments crises, sharp economic slowdowns, or worse, sovereign default. Argentina and Turkey flag as most vulnerable, while Brazil and Mexico have only moderate vulnerability to a stop in capital flows.
- A sustained geopolitical shock can be another test to the resilience of EM FX. Over the last few days, EM FX has come under broad pressure, but market participants may show a renewed focus on fundamentals and valuations in a shock. Currencies associated with weak fundamentals and expensive valuations can see a sharp reversal (e.g., COP, MXN and ZAR). Countries associated with stronger FX fundamentals and more attractive valuations (e.g., TWD and KRW) can be more protected. At the same time, keep an eye on our framework's "max selloff" levels for whether a currency has become too misaligned or is detached from underlying FX fundamentals. "Buying" or "hedging" opportunities may become available should those levels be breached.
- A combined FX and inflation shock via elevated oil prices limits EM central banks' ability to cut policy rates further. Select central banks may still be able to cut as real interest rates are elevated and the shock hits less acutely (e.g., Brazil, albeit with less space). Others could see easing cycles end early as inflationary pressure builds from higher oil prices and FX pass-through, complicating already existing inflation pressures (e.g., Banxico). A few could restart tightening cycles even if growth prospects are damaged, as financial stability and containing inflation expectations becomes paramount (e.g., Reserve Bank of India).
- Should an affordability shock ensue from markets volatility and/or higher non-discretionary expenditures governments may be limited in their ability to respond via fiscal support. Public finance positions are already weak across EM, except for a select few. For certain governments, rising oil prices can generate increased revenues, boost growth prospects and offer new space to offset affordability issues. Administrations will need to weigh that dynamic against already wide fiscal deficits and large debt burdens (e.g., Colombia). But should governments without fiscal headroom ignore public finance limitations sovereign bond markets may turn volatile, and financing issues could follow.

A sustained Middle East geopolitical shock could spark a “sudden stop” of capital flows into EM

Emerging markets have attracted capital inflows over the last 12-18 months, but should investor sentiment shift away from EM, economies reliant on external financing could experience crisis conditions. Argentina and Turkey are highly vulnerable, China and India are less sensitive, although most EMs have sources of vulnerability to a sudden stop scenario

	Overall EM Sudden Stop Vulnerability	Current Account Balance (% of GDP)	FX Reserve Adequacy (% of ST Debt)	Foreign Part. in LCY Debt (% of LCY Debt)	FX Denominated Debt (% of Gov't Debt)	FX Regime (Free, Managed Float or Crawl)
Argentina	Red	Yellow	Red	Red	Red	Red
Turkey	Red	Yellow	Red	Green	Red	Red
Indonesia	Yellow	Yellow	Red	Yellow	Red	Yellow
Colombia	Yellow	Red	Yellow	Yellow	Red	Green
Chile	Yellow	Yellow	Red	Yellow	Red	Green
Poland	Yellow	Yellow	Red	Yellow	Red	Green
Hungary	Yellow	Green	Red	Yellow	Red	Green
Peru	Yellow	Green	Green	Red	Red	Yellow
Philippines	Yellow	Red	Green	Green	Red	Yellow
South Africa	Yellow	Yellow	Yellow	Red	Green	Green
South Korea	Yellow	Yellow	Green	Red	Yellow	Yellow
Mexico	Yellow	Yellow	Green	Yellow	Yellow	Green
Brazil	Yellow	Yellow	Yellow	Yellow	Green	Green
India	Green	Yellow	Green	Green	Green	Yellow
Israel	Green	Green	Green	Green	Yellow	Yellow
Russia	Green	Green	Green	Green	Green	Red
Taiwan	Green	Green	Green	Green	Green	Red
China	Green	Green	Green	Green	Green	Red
Thailand	Green	Green	Green	Green	Green	Green

¹ Red indicates "High vulnerability"; Orange indicates "Moderate vulnerability"; Green indicates "Little vulnerability"

Source: IMF, IIF Wells Fargo Economics

A shock can test the resilience of EM FX. Which currencies are vulnerable and which can be more protected?

Markets are likely to focus on relative fundamentals and valuations in a downside shock. Underlying FX fundamentals are most fragile in Argentina, Colombia and Turkey, but strongest in Peru, Taiwan and China. COP, CLP, MXN, ZAR, IDR, BRL and ILS screen as overvalued, while TWD and KRW valuations appear more attractive

	Current Exchange Rate (Level vs. USD)	Max FX Depreciation (Level vs. USD)	Unrealized Max FX Depreciation (% vs. USD)	Q1'2026 FX Vulnerability ^{1 2}	Current Account Balance (% of GDP)	Real Int. Rate Diff. With U.S. (%)	Import Cover (Months)	Political Risk Indicator
Argentina	1,411	1,524	(6.4%)	Red	Yellow	Red	Yellow	Red
Colombia	3,790	4,239	(10.1%)	Yellow	Red	Green	Yellow	Red
Turkey	43.98	46.80	(5.5%)	Yellow	Yellow	Yellow	Red	Yellow
Chile	909.50	1,003	(8.7%)	Yellow	Green	Yellow	Red	Yellow
Hungary	336.66	371.08	(8.7%)	Yellow	Yellow	Yellow	Red	Yellow
Mexico	17.72	20.15	(11.6%)	Yellow	Yellow	Yellow	Red	Yellow
South Africa	16.54	18.52	(10.1%)	Yellow	Yellow	Yellow	Red	Yellow
Indonesia	16,872	18,953	(10.5%)	Yellow	Yellow	Yellow	Red	Yellow
South Korea	1,488	1,596	(6.1%)	Yellow	Red	Yellow	Red	Yellow
Philippines	58.43	66.17	(11.3%)	Yellow	Red	Yellow	Yellow	Yellow
Poland	3.71	4.10	(9.0%)	Yellow	Yellow	Yellow	Red	Green
Thailand	31.45	36.39	(13.4%)	Yellow	Green	Red	Red	Green
India	91.48	100.38	(8.3%)	Yellow	Yellow	Red	Yellow	Green
Brazil	5.29	6.03	(11.9%)	Yellow	Green	Green	Green	Red
Israel	3.10	3.61	(14.1%)	Yellow	Green	Yellow	Green	Red
Peru	3.40	3.72	(8.3%)	Green	Green	Yellow	Green	Yellow
Taiwan	31.63	32.02	(1.1%)	Green	Green	Red	Green	Green
China	6.92	7.61	(9.0%)	Green	Green	Yellow	Green	Yellow

FX Vulnerability as of 3/3/2026

¹ Red indicates "High vulnerability", Orange indicates "Moderate vulnerability", Green indicates "Low vulnerability"

² "High vulnerability" represents maximum peak-to-trough 20% depreciation, "Moderate vulnerability" represents maximum peak-to-trough 15% depreciation, "Low vulnerability" represents maximum peak-to-trough 10% depreciation

Source: IMF, Bloomberg Finance L.P. and Wells Fargo Economics

Should the downside scenario for FX depreciation and an inflation shock via higher oil prices materialize, all EM central banks (ex-PBoC) would lose space to ease monetary policy. A select few may have room for easing (e.g., Brazilian Central Bank), others would likely end the easing cycle (e.g., Banxico), while certain institutions may shift to rate hikes (e.g., Reserve Bank of India)

	Pre-Iran 2026 Monetary Policy Space	2026 Monetary Policy Space ^{1 2}	Real Int. Rate Diff. With Fed (%)	Inflation From CB Target (%)	Economic Growth Momentum	FX Performance vs. USD (Last 3 months)
Hungary						
Thailand						
Poland						
Israel						
Chile						
Brazil						
China ³						
South Africa						
Philippines						
Mexico						
Turkey						
Colombia						
India						
South Korea						
Indonesia						
Peru						
Argentina						

¹ Green indicates "Adequate Monetary Policy Space", Orange indicates "Limited Monetary Policy Space", Red indicates "No Monetary Policy Space"

² Adequate Monetary Policy Space represents scope for >50 bps of rate cuts, Limited Monetary Policy Space represents scope for 25-50 bps of rate cuts, No Monetary Policy Space represents scope for 0 rate cuts

³ People's Bank of China 7 Day Reverse Repurchase Rate

Source: Bloomberg Finance L.P. and Wells Fargo Economics

Governments may need to offset affordability hits, but can they offer fiscal support without bond market volatility?

Administrations have floated the idea of financial support should affordability issues become apparent. But only a few have fiscal policy space to deliver (e.g., Chile and Peru). Those without fiscal headroom (e.g., Brazil, South Africa and Colombia) risk instability and economic downturns, or if resources are deployed anyway, local bond markets could turn volatile

Country	2026 Fiscal Policy Space ¹	Primary Balance (% of GDP)	Interest Expense (% of GDP)	Bond Maturities* (% of GDP)	Gross Gov't Debt (% of GDP)	Auto. Debt Dynamics (Rates-Growth)
Chile						
Peru						
Russia						
Czech Republic						
Turkey						
Indonesia						
Korea						
Philippines						
Thailand						
Argentina						
Poland						
Mexico						
China						
Israel						
Hungary						
India						
Colombia						
South Africa						
Brazil						

¹ Green indicates "Adequate Fiscal Policy Space", Orange indicates "Limited Fiscal Policy Space", Red indicates "No Fiscal Policy Space"

* Wells Fargo Estimate

Source: IMF, Bloomberg Finance L.P. and Wells Fargo Economics

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Changing the Game: International Implications of Recent Tariff Developments

International Commentary

Economist(s)



[Aroop Chatterjee](#)

Summary

- The Supreme Court ruling on International Emergency Economic Powers Act (IEEPA) tariffs provides **limited relief** for the rest of the world, with weighted average tariff rates modestly lower. This is consistent with our baseline view of **steady (but uncertain) global growth**, rather than a material downside shock.
- The binding constraint now comes from **Section 122's flat surcharge** (10% as implemented, with 15% still under consideration), applied **uniformly across countries**.
- This results in **clear relative winners and losers** versus the pre-Supreme Court ruling landscape. Under a 15% Section 122 regime, tariff rates fall the most for China, India, Brazil and South Africa, while they rise for the UK, EU, Australia and Japan.
- The ruling also creates an **unprecedented legal vacuum** for the 19 countries that struck trade deals with the US in recent months. Deal rates lack an enforceable legal mechanism, having been implemented exclusively through IEEPA authority.
- In practice, this sets up a **classic prisoner's dilemma**. While countries could challenge or renege, fear of retaliation via Section 301/232 investigations alongside non-trade leverage in defense, technology and diplomacy, will likely deter overt confrontation. Slow-walking of commitments appears more likely than outright withdrawal. Section 338 tariffs remain a wild card, though the legal bar for deployment appears high. On net, **trade deal momentum with the US is likely to slow materially in 2026**.

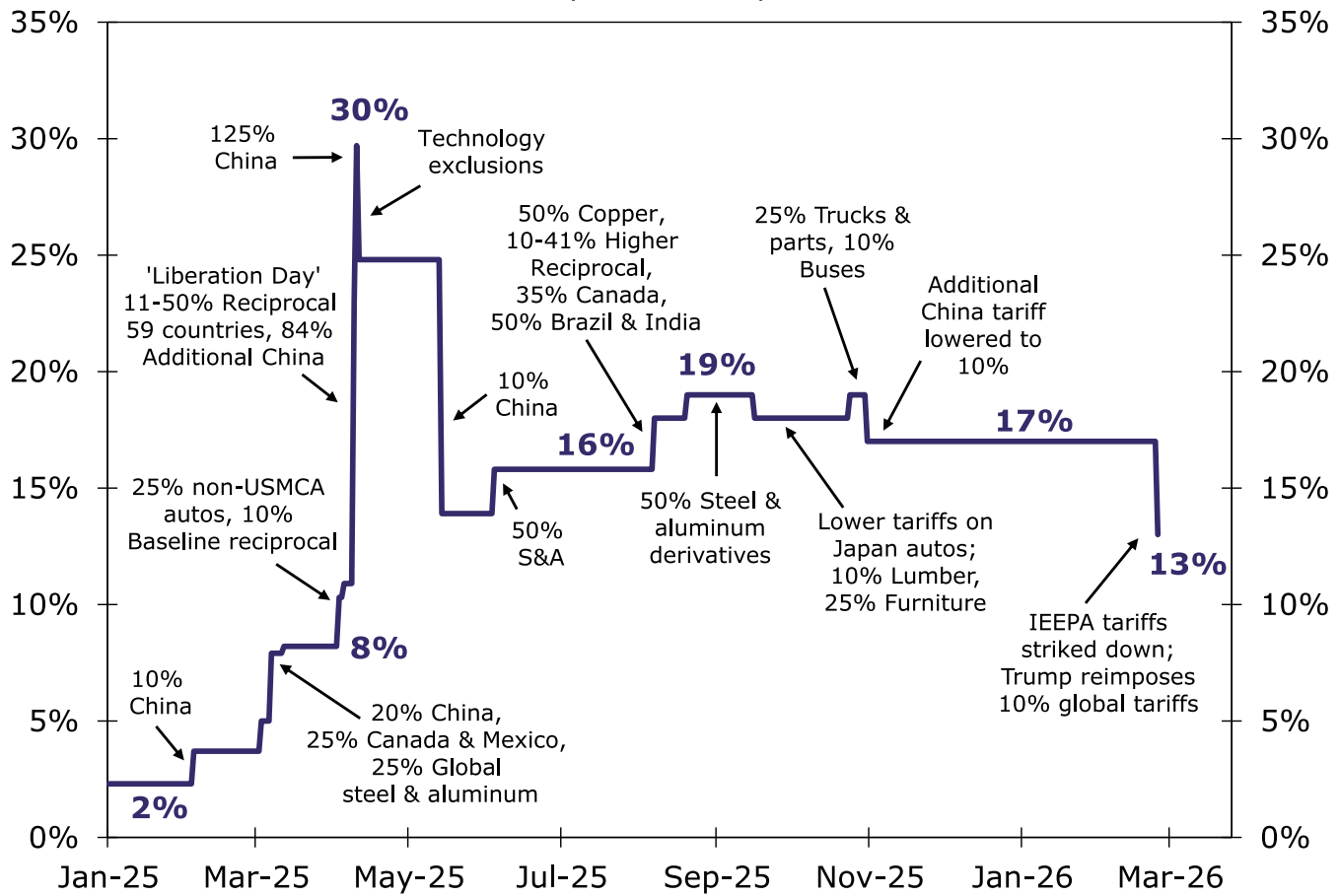
Key takeaways

- The U.S. weighted average tariffs rate declined to **13% from 17%** following the Supreme Court's February 20 ruling striking down IEEPA tariffs and the administration's imposition of **10% Section 122 tariffs** on February 24 ([Figure 1](#)). If the proposed 15% Section 122 surcharge is finalized, weighted average tariffs would rise to around **15%**, still modestly below prior levels. This limited relief supports our view of **steady global growth amid elevated policy uncertainty and rising idiosyncratic risks** (see [International Economic Outlook: February 2026](#)).
- Section 122 of the Trade Act of 1974, now serving as the interim replacement, has a **critical structural limitation**: it must be applied on a **non-discriminatory basis**. While it authorizes a temporary import surcharge to address balance-of-payments concerns, it does not allow country-specific differentiation. As a result, the administration cannot legally impose a 10% rate on one country and 15% on another under Section 122 alone. For now, U.S. Customs and Border Protection (CBP) has implemented the original **10% rate**, while the administration works toward finalizing the increase to 15%. The surcharge stacks on top of Most Favored Nation (MFN) duties and existing section 301 tariffs, while fully replacing IEEPA-based rates.

Figure 1

Estimated U.S. Average Effective Tariff Rate

Since Start of 2025 by Date of Implementation; Percent



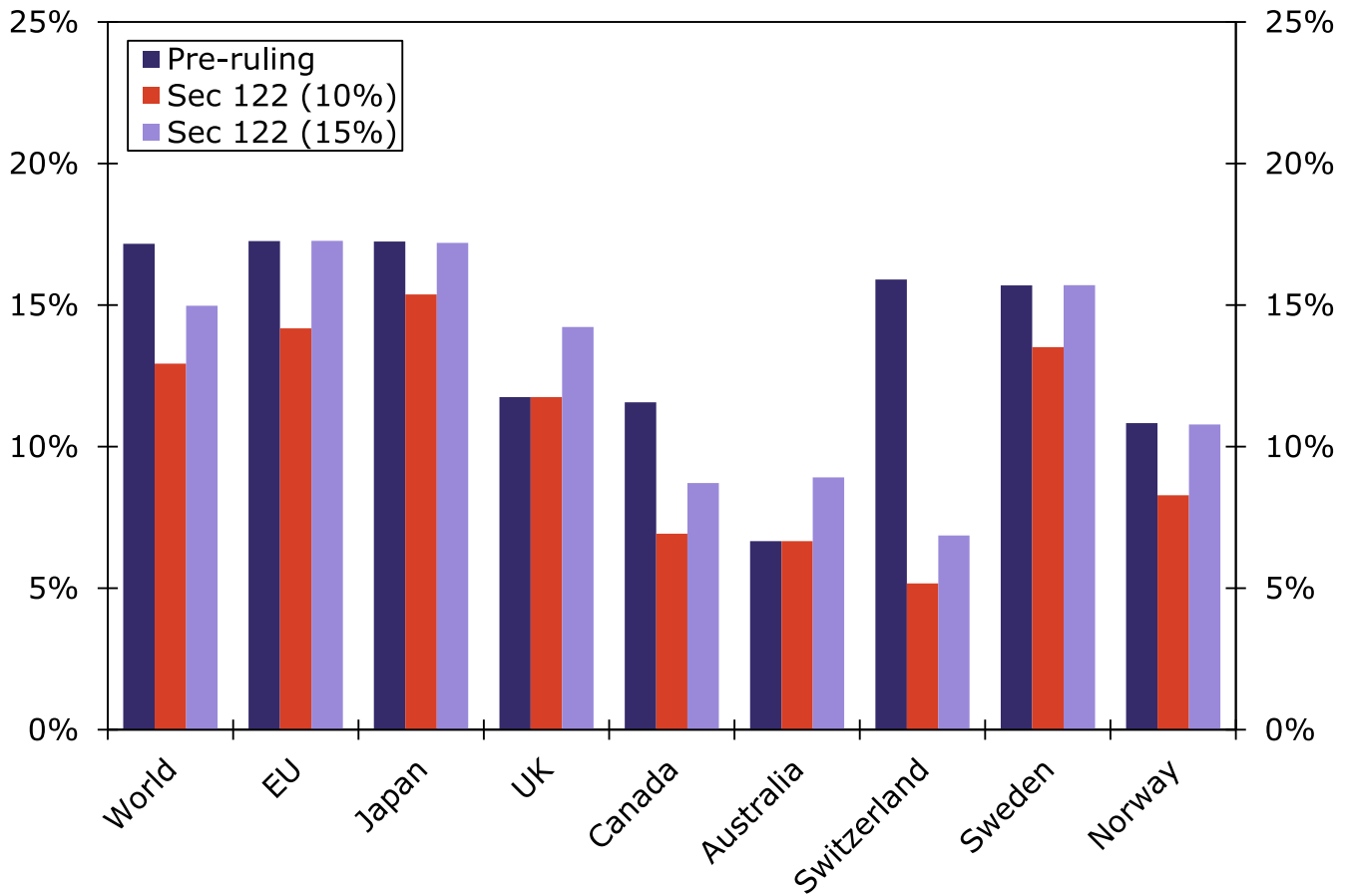
Source: U.S. Department of Commerce and Wells Fargo Economics

- This produces **meaningful cross-country dispersion** relative to prior tariff levels. [Figure 2](#) and [Figure 3](#) compare current and planned statutory tariffs with those prevailing pre-ruling for major advanced and emerging economies, applying existing exemptions and (unstacked) sector specific tariffs. Under a 10% Section 122 regime, tariff rates decline for most trading partners with the United Kingdom and Australia as notable exceptions with unchanged rates. Under a 15% regime, tariff relief is largest for China, India, Brazil and South Africa versus pre-ruling levels, while tariff burdens rise for the UK, Australia, EU and Japan.

Figure 2

Advanced Economies Statutory Tariff Rates

Weighted Average

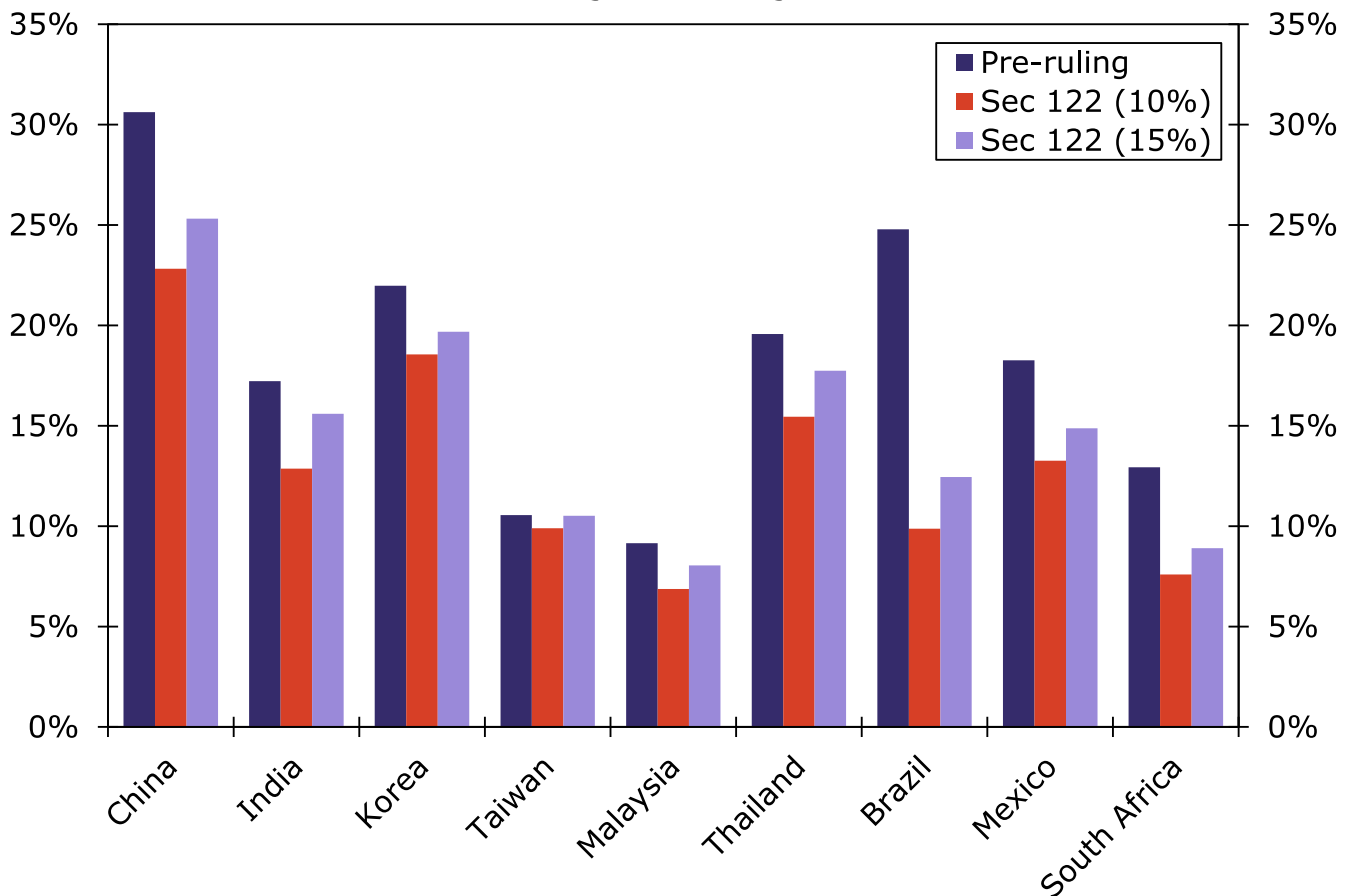


Source: U.S. Department of Commerce and Wells Fargo Economics

Figure 3

Emerging Economies Statutory Tariff Rates

Weighted Average



Source: U.S. Department of Commerce and Wells Fargo Economics

- The Supreme Court decision creates a **unique and unresolved legal situation** for the 19 countries that finalized trade deals in recent months. All bilateral agreements since 2025 such as those undertaken by the EU (July), UK (May), Japan (September), South Korea (November), Indonesia (July), Taiwan, India and others, were implemented via executive orders with tariff rates set using IEEPA. The Court’s 6-3 ruling made clear that **IEEPA does not authorize tariffs**, voiding the sole enforcement mechanism underpinning these agreements. The deals themselves were executive agreements, not Congress-ratified treaties, leaving them without a clear legal foundation.
- Section 122 authority expires on July 24, 2026, unless extended by Congress—an outcome we see as unlikely given bipartisan opposition and heading into the November Midterm elections. In the interim, the administration is likely to rely more heavily on **accelerated Section 301 investigations**, which offer the most robust path toward restoring country-specific tariff authority and face no statutory rate cap. These are likely to be complemented by ongoing and prospective **Section 232 investigations** across sectors such as semiconductors, pharmaceuticals, drones and other strategic industries. Section 338 tariffs under the Tariff Act of 1930, which authorizes duties of up to 50%, remain a theoretical option, but their non-use thus far suggests a higher legal and political threshold.
- **A strategic game is now unfolding that likely implies slower deal-making in 2026.** Section 122 appears to function as a bridge while the administration reconstructs a legally durable tariff regime via 301/232 authority. Countries that negotiated deals face a sharp asymmetry: concessions (investment pledges, market access, export-control alignment) were real and in many cases already delivered, while agreed tariff ceilings have been legally nullified. We see responses falling into three broad buckets:
 1. **Wait and see (EU, UK):** The EU has frozen ratification of its July agreement that had achieved a 15% "inclusive" deal rate rather the potential 15% Section 122 tariffs "adding" to 2-4% MFN rates. The European Parliament’s trade committee has postponed a vote pending "full clarity" from Washington. EU leverage remains significant with \$600bn in pledged US-directed investment and zero tariffs on US industrial goods. A breach of deal ceilings would allow the EU to withdraw concessions and reimpose retaliatory tariffs. The UK has adopted a similar posture, though with less confrontational rhetoric. [Figure 2](#) shows the UK’s gap between the threatened 15% tariffs and the 10% deal rate is the widest among peers.
 2. **Signal commitment and seek protection (Japan, Korea, Mexico, Canada):** Japan and Korea have also raised concerns that their agreements set 15% as an all-in ceiling, compared to the Section 122 surcharge. Japan’s Trade Minister Akazawa has explicitly flagged the discrepancy, yet Japan has reiterated its intention to proceed with its \$550bn investment commitment, including a recently announced \$36bn critical minerals package. Korea has likewise indicated it will honor its deal. Separately, we expect Mexico and Canada to continue to push for USMCA compliance as a means of reducing the impact of announced tariffs. Ultimately, this ups the ante for ongoing discussions of USMCA extension that need to be completed by July 1, 2026.
 3. **Slow-walk compliance and delay engagement (China, India, Brazil, South Africa):** With IEEPA leverage removed, US coercive power has weakened materially. These countries were subject to the highest IEEPA rates and are the primary beneficiaries under Section 122. We expect slow compliance under existing understandings and a deliberate delay in deeper deal-making as the administration works to re-establish its tariff authority. The lower tariff rates imply modest improvement in near-term sentiment even as the medium-term uncertainties about the economic relationship with the US linger.

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